

Market Technicians Association, Inc.

Professionals Managing Market Risk • Incorporated in 1973

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Chartered Market Technician (CMT) Program – Level III

The CMT Level III exam will test the candidates' ability to **integrate** their understanding of concepts identified in Level I studies with the practical application learned in Level II studies. The Level III exam requires candidates to **implement** critical analysis to arrive at well-supported recommendations in an investing/trading context. A successful Level III candidate demonstrates they are ready to apply technical analysis in an institutional setting.

The CMT Level III exam is in short answer format and is computerized. Price information, data, and charts will be on screen and printed copies will also be provided. All candidates must pass the Ethics portion of the exam to be successful.

Exam time length: 4 hours, 15 minutes

Exam format: Short Answer

The curriculum is organized into exam specific knowledge domains that provide a framework for recognizing and implementing investment/trading decisions. CMT Level III exam tests the candidate's knowledge in seven domains:

1. Risk Management
2. Asset Relationships
3. Portfolio Management
4. Classical Methods
5. Behavioral Finance
6. Volatility Analysis
7. Ethics



Listed below is an alternative reading list for the CMT Level III exam. The official readings are contained in the forthcoming custom text published by Wiley due out in July. The CMT candidate is responsible for knowing and understanding the entire list of reading assignments.

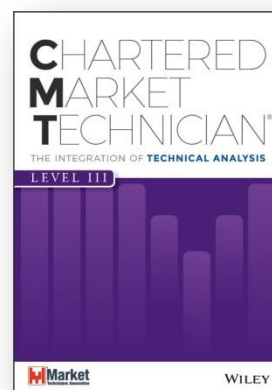
As part of our ongoing re-investment in the CMT Program, we have entered into a publishing agreement with John Wiley & Sons to publish a custom text for each level of the CMT exams. Each level-specific text will be available through Wiley in eBook format in July 2015. As our publisher, Wiley is working diligently to produce a top quality offering as quickly as possible. We will continue to update you as we receive more detailed information.

With any change to established practices, there are some challenges. Making the transition simple and easy for candidates currently enrolled is one of our highest priorities. For candidates who have already purchased some of the books from the required reading lists or for those interested in starting their preparation for the October administration immediately, we have detailed a modified reading list below.

Please note, the content and curriculum topics covered in the books listed for each level will correspond to the same learning objectives and topics as seen in the custom text that will be published by Wiley. The specific readings and authors may vary from the reading list below. **Both methods of study are equivalent and will cover the same topics and prepare you for the exams.**

CMT LEVEL III – Alternative Reading List

OR Wiley Custom Curriculum



CMT Level III Exam – Alternative Reading List

1. Elder, Alexander: **The New Trading for a Living**, John Wiley & Sons, Inc., c. 2014, ISBN: 978-1-118-44392-7

Chapter:

39

2. Kaufman, Perry J: **Trading Systems and Methods, 5th Edition**, John Wiley & Sons, Inc., c. 2005, 2013, ISBN: 978-1-118-04356-1

Chapters:

13-23

3. Katsanos, Markos: **Intermarket Trading Strategies**, John Wiley & Sons, Ltd., c. 2008, ISBN: 978-0-470-75810-6

Chapters:

1-9

4. Ciana, Paul: **New Frontiers in Technical Analysis**, John Wiley & Sons, Inc., c. 2011, ISBN: 978-1-57660-376-5

Chapter:

2

5. Weigand, Robert A.: **Applied Equity Analysis and Portfolio Management**, John Wiley & Sons, Inc., c. 2014, ISBN: 9781118630914

Chapter:

2 and 7

6. Aronson, David R.: **Evidence-Based Technical Analysis**, John Wiley & Sons, Inc., c. 2006, 2007, ISBN-13: 978-0-470-00874-4, ISBN-10: 0-470-00874-1

Chapter:

5 and 6

7. Burton, Edwin T and Shah, Sunit N.: **Behavioral Finance, Understanding the Social, Cognitive, and Economic Debates**, John Wiley & Sons, Inc., c. 2013, ISBN: 978-1-118-30019-0

Chapters:

12-13

8. Montier, James: **Behavioral Investing: A Practitioners Guide to Applying Behavioral Finance**, John Wiley & Sons, Inc., ISBN-10: 0470516704, ISBN-13: 978-0470516706

Chapters:

15 and 17, 38 and 39

9. Brown, Constance M.: **Technical Analysis for the Trading Professional 2nd Edition**, McGraw-Hill, c. 2012, ISBN-10: 007175914X; ISBN-13: 978-0071759144

Chapters:

1-2

10. Nison, Steve: **Japanese Candlestick Charting Techniques, 2nd Edition**, New York Institute of Finance, c. 2001, ISBN: 0-7352-0181-1

Chapters:

10-17

11. Asness, Clifford S. and Frazzini, Andrea and Israel, Ronen and Moskowitz, Tobias J., **Fact, Fiction and Momentum Investing** (May 9, 2014). Journal of Portfolio Management, Fall 2014 (40th Anniversary Issue).
12. [Code of Ethics and Standards of Professional Conduct](#)